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Greater China Technology Hardware | Asia Pacific

CPO unlikely to disrupt high-end CCL demand in the near term

Key Takeaways

- Co-packaged optics (CPO) is a long-term risk, not an imminent demand disruption.
- While we agree that broader CPO adoption represents a credible longer-term risk to premium copper-clad laminate (CCL) content, we see limited risk to the demand outlook over 2026–28.
- We see limited near-term impact on CCL demand or our earnings estimates for EMC and TUC, leaving our premium-CCL supply-tightness thesis and constructive fundamental view intact.

What's new? EMC (2383.TW) shares fell 7.7% and TUC (6274.TWO) shares declined 6.7% on Sep 17, vs TAIEX +0.8%. Following the sell-off, investors have questioned whether CPO could disrupt demand for high-end CCL. The concern is that integrating optical engines alongside the ASIC on the package substrate shortens high-speed electrical signal paths that would otherwise traverse the printed circuit board (PCB), potentially reducing the need for ultra-low-Dk/Df, high-speed CCL.

Our thoughts: This is not a new debate. We previously discussed the potential implications of CPO for high-speed CCL demand [here](#) and [here](#). We believe this is particularly relevant for scale-up architectures, where CPO adoption still faces meaningful challenges related to cost, manufacturing yield, reliability, serviceability, and thermal management. As such, we believe the risk of a broad-based reduction in CCL requirements across AI systems before 2028 remains limited. We would view CPO-driven pullbacks in CCL stocks as potential opportunities to accumulate.

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
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Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	559	15%	93	10%	17%	216	12%
Total	3,694		939			1754	

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Accelink Technologies Co. Ltd. (002281.SZ)	U (05/12/2022)	Rmb185.21
BYD Electronics (0285.HK)	O (04/28/2023)	HK\$23.36
China TransInfo Technology Co Ltd (002373.SZ)	E (07/18/2023)	Rmb7.38

Dahua Technology Co. Ltd. (002236.SZ)	E (12/12/2024)	Rmb15.72
Eoptolink Technology Inc Ltd (300502.SZ)	O (02/27/2026)	Rmb423.69
Genius Electronic Optical Co. Ltd. (3406.TW)	U (09/10/2026)	NT\$965.00
GoerTek Inc (002241.SZ)	E (08/14/2026)	Rmb21.53
Gosuncn Technology Group Co Ltd (300098.SZ)	U (11/07/2022)	Rmb4.36
HIKVision Digital Technology (002415.SZ)	E (12/12/2024)	Rmb32.61
Largan Precision (3008.TW)	E (09/10/2026)	NT\$6,020.00
LianChuang Electronic Technology Co Ltd (002036.SZ)	U (06/12/2024)	Rmb6.20
Lingyi Itech Guangdong Co (002600.SZ)	U (04/23/2025)	Rmb12.51
Lingyi Itech Guangdong Co (1688.HK)	O (08/14/2026)	HK\$6.14
Luxshare Precision Industry Co., Ltd. (2475.HK)	O (08/14/2026)	HK\$58.50
Luxshare Precision Industry Co., Ltd. (002475.SZ)	O (10/24/2016)	Rmb52.89
OFILM Group Co Ltd (002456.SZ)	U (06/12/2024)	Rmb6.95
Q Technology (Group) Company Ltd (1478.HK)	U (03/23/2026)	HK\$5.32
Quectel Wireless Solutions Co Ltd (603236.SS)	E (10/09/2024)	Rmb69.74
Shanghai Conant Optical Co Ltd (2276.HK)	O (04/10/2026)	HK\$40.60
Shenzhen Transsion Holdings Co Ltd (688036.SS)	E (03/23/2026)	Rmb52.41
Sunny Optical (2382.HK)	E (03/23/2026)	HK\$68.50
Suzhou TFC Optical Communication Co Ltd. (300394.SZ)	E (11/06/2025)	Rmb268.99
Wingtech Technology Co Ltd (600745.SS)	U (05/18/2026)	Rmb17.05
Xiaomi Corp (1810.HK)	O (04/14/2021)	HK\$26.18
Yangtze Optical Fibre and Cable JSC Ltd (601869.SS)	U (10/13/2021)	Rmb461.00
Yangtze Optical Fibre and Cable JSC Ltd (6869.HK)	O (07/15/2026)	HK\$177.00
Yongxin Optics Co Ltd (603297.SS)	E (11/15/2022)	Rmb111.73
Zhejiang Crystal-Optech Co Ltd (002273.SZ)	O (11/15/2022)	Rmb24.68
Zhongji Innolight Co Ltd (300308.SZ)	O (09/07/2026)	Rmb907.80
Zhongji Innolight Co Ltd (3308.HK)	O (09/07/2026)	HK\$1,137.00
ZTE Corporation (0763.HK)	O (06/04/2026)	HK\$22.62
ZTE Corporation (000063.SZ)	E (06/04/2026)	Rmb32.37

Derrick Yang

Accton Technology Corporation (2345.TW)	O (06/06/2024)	NT\$1,800.00
Advantech (2395.TW)	O (01/20/2021)	NT\$686.00
AirTAC International (1590.TW)	O (04/16/2025)	NT\$1,245.00
Asia Vital Components Co. Ltd. (3017.TW)	O (07/30/2024)	NT\$3,185.00
AU Optronics (2409.TW)	E (02/10/2026)	NT\$30.00
Auras Technology Co Ltd (3324.TWO)	E (05/04/2023)	NT\$1,360.00
Bizlink (3665.TW)	O (03/10/2025)	NT\$2,010.00
BOE Technology (000725.SZ)	O (09/06/2019)	Rmb5.45
Chenbro (8210.TW)	O (07/23/2025)	NT\$891.00
Chroma Ate Inc. (2360.TW)	O (10/05/2021)	NT\$2,085.00
Delta Electronics Inc. (2308.TW)	O (07/13/2017)	NT\$1,685.00
E Ink Holdings Inc. (8069.TWO)	E (08/10/2026)	NT\$148.00
Ennostar Inc (3714.TW)	U (09/23/2022)	NT\$65.50
Fositek Corp (6805.TW)	O (06/25/2025)	NT\$2,090.00
Hiwin Technologies Corp. (2049.TW)	O (03/30/2026)	NT\$336.00
Innolux (3481.TW)	E (04/07/2025)	NT\$48.50
King Slide Works Co. Ltd. (2059.TW)	O (11/08/2023)	NT\$12,295.00
Lens Technology (300433.SZ)	E (07/22/2020)	Rmb33.31
Lite-On Technology (2301.TW)	E (01/15/2025)	NT\$278.00
TCL Corp. (000100.SZ)	E (04/07/2025)	Rmb4.76
Tianma Microelectronics (000050.SZ)	U (01/24/2018)	Rmb6.52
Wuhan Jingce Electronic Group Co Ltd (300567.SZ)	E (11/26/2021)	Rmb206.25

Howard Kao

Acer Inc. (2353.TW)	U (04/23/2025)	NT\$32.40
Asustek Computer Inc. (2357.TW)	U (11/16/2025)	NT\$948.00

Catcher Technology (2474.TW)	U (11/17/2025)	NT\$208.50
Compal Electronics (2324.TW)	U (04/23/2025)	NT\$37.40
Elite Material Co. (2383.TW)	O (09/14/2026)	NT\$4,695.00
FIT Hon Teng Ltd (6088.HK)	O (11/03/2025)	HK\$5.25
Foxconn Industrial Internet Co. Ltd. (601138.SS)	O (07/10/2019)	Rmb62.33
Giga-Byte Technology Co. Ltd. (2376.TW)	E (11/16/2025)	NT\$355.00
Gold Circuit Electronics Ltd. (2368.TW)	O (10/06/2022)	NT\$950.00
Hon Hai Precision (2317.TW)	O (03/15/2024)	NT\$250.50
Inspur Electronic Information (000977.SZ)	E (08/28/2023)	Rmb71.15
Kingboard Laminates Holdings Ltd. (1888.HK)	O (09/14/2026)	HK\$47.50
LandMark Optoelectronics Corporation (3081.TWO)	E (03/26/2026)	NT\$2,805.00
Lenovo (0992.HK)	O (07/10/2026)	HK\$33.80
Lotes Co. Ltd. (3533.TW)	E (05/12/2025)	NT\$1,555.00
Nan Ya PCB (8046.TW)	O (02/23/2026)	NT\$1,065.00
Pegatron Corporation (4938.TW)	E (03/25/2026)	NT\$90.40
Quanta Computer Inc. (2382.TW)	O (05/01/2023)	NT\$344.00
Shengyi Technology Co Ltd. (600183.SS)	E (05/26/2022)	Rmb154.48
Shennan Circuits Co Ltd (002916.SZ)	E (08/24/2023)	Rmb392.50
Unimicron (3037.TW)	O (02/23/2026)	NT\$940.00
Visual Photonics Epitaxy Co Ltd (2455.TW)	E (09/11/2023)	NT\$534.00
Wistron Corporation (3231.TW)	O (07/12/2023)	NT\$186.50
Wiwynn Corp (6669.TW)	O (11/10/2025)	NT\$2,135.00
Yageo Corp. (2327.TW)	O (10/28/2025)	NT\$529.00
Zhen Ding (4958.TW)	++	NT\$476.00
Irene Yen		
Co-Tech Development Corp. (8358.TWO)	O (09/14/2026)	NT\$510.00
Taiwan Union Technology Corporation (6274.TWO)	O (09/14/2026)	NT\$1,415.00

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.